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Whatcom County, WA

Request of: SOUTH DOUGLAS LLC

WHEN RECORDED RETURN TO:

BRADLEY D. SWANSON
BELCHER SWANSON LAW FIRM, P.L.L.C.
900 DUPONT STREET
BELLINGHAM, WA 98225-3105

Document Title:	Declaration of Covenants, Conditions, Reservations & Restrictions of the South Douglas Long Plat, Div. 1
Declarant:	South Douglas, LLC, a Washington limited liability company
Legal Description:	Ptn. of Lot B, Douglas Road Lot Line Adjustment
Assessor's Tax Parcel ID#:	390230 024422 0000

**DECLARATION OF COVENANTS, CONDITIONS, RESERVATIONS AND
RESTRICTIONS OF THE SOUTH DOUGLAS LONG PLAT, DIV. 1**

A. RECITALS

1. The undersigned Declarant is the Owner in fee simple of the following described real property located in the County of Whatcom, State of Washington:

See Exhibit "A"

(hereinafter referred to as the "Subdivision")

2. Declarant desires to provide the means to enforce the rights, reservations, easements, liens and charges provided in this Declaration, to provide for necessary maintenance and enhancement of the Subdivision and to provide for the formation of a Community Association in the form of a nonprofit corporation which includes as its members those persons who purchase any Lot within the Subdivision.

3. The restrictions on design and development are not intended to prevent or impair innovative or creative design. The restrictions are intended to require uniform quality with flexible design done in a tasteful manner.

B. DECLARATION

The Declarant hereby certifies and declares that the following covenants, conditions, reservations and restrictions shall endure and be binding upon the respective Owners of each Lot or parcel within the Subdivision, and the Declarant further declares that all of the property within the Subdivision described herein is held and shall be held, conveyed, encumbered, leased, rented, used, occupied and improved subject to the following covenants, conditions, reservations and restrictions for the purpose of enhancing and protecting the value, desirability and attractiveness of the Subdivision and every part thereof. All of the following covenants, conditions, reservations and restrictions shall run with the land and shall be binding upon all parties having or acquiring any right, title or interest in the Subdivision or any part thereof.

1. LAND CLASSIFICATION AND DEFINITIONS

DECLARATION OF COVENANTS, CONDITIONS, RESERVATIONS AND – 1
RESTRICTIONS OF THE SOUTH DOUGLAS LONG PLAT, DIV. 1

The following words and classifications of land shall have the following meanings under this Declaration:

1.1 Lot. Any parcel of real property within the boundaries of the Subdivision identified by Arabic numerals and designated for the location and construction of a single-family residence.

1.2 Tract or Parcel. Any parcel of real property within the boundaries of the Subdivision not consisting of a Lot or real property dedicated to the City of Ferndale.

1.3 Person. Any individual, firm, corporation, partnership, association, unincorporated association or other legal entity.

1.4 Owner. Any person holding either fee title or a vendee's interest under a Real Estate Contract as shown by the records of the Auditor of Whatcom County, Washington, in a Lot or in a Parcel.

1.5 Declarant. South Douglas, LLC, a Washington limited liability company, together with any successor in interest thereto.

1.6 Common Properties. Real property owned by the Declarant or conveyed by the Declarant to the Association, shown on the plat map for the Subdivision for the common use, benefit and enjoyment by the Owners and the Association including, but not limited to, Open Space, as defined herein. Common properties shall be transferred to the Association pursuant to Paragraph 2.2 of this Declaration.

1.7 Improvements. Improvements shall mean and include, without limitation, any buildings, out-buildings, private roads, driveways, parking areas, fencing, retaining walls, swimming pools, screening, walls, ornamentation, signs, stairs, decks, hedges, wind breaks, plantings, planted trees, shrubs, poles, lighting, hot tubs and any other structure or landscaping.

1.8 Resident.

1.8.1 Each person lawfully residing on or in any Lot;

1.8.2 Members of the immediate family of each such person actually living in the same household with such person; and

1.8.3 Any person who dwells or stays on a Lot for a period of more than forty-eight (48) hours in any month.

1.9 Board. The Board of Directors or other governing body designated for the Association.

1.10 Association. The community association of all Owners of the Douglas Plats, as more fully described in Section 6 hereof, which is being created concurrent with the execution hereof in the form of a Washington nonprofit corporation.

1.11 Stormwater Facilities. Stormwater Facilities are those private facilities constructed for the Douglas Plats used for treating and detaining storm waters, which shall only include the detention pond, the perimeter fence and gates, the overflow spillway, the rocked pond inlets, the outfall pipe to the control structure, the control structure, and access roads. These improvements are identified on the face of the Plat Maps for each of the Douglas Plats or the approved construction plans for each of the Douglas Plats.

1.12 Design Review Committee. The committee charged with reviewing and approving or denying all proposed improvements on any Lot within the Subdivision, pursuant to Section 5 of this document, hereinafter referred to as the "Committee".

1.13 Douglas Place Long Plat. That certain Long Plat on Lot A of the Douglas Road Lot Line Adjustment, as filed under Auditor's File No. 2070801956, records of Whatcom County, Washington which obtained preliminary plat approval from the City of Ferndale Hearing Examiner on October 24, 2007. The Owner of the Douglas Place Long Plat is Douglas Place, LLC.

1.14 Subsequent Phases. The real property legally described in Exhibit "B", which is attached is owned by the Declarant and will be developed by the Declarant into a residential subdivision as a phase or phases of the South Douglas Long Plat. These phases shall be referred to herein as "Subsequent Phases". Upon acceptance by the City of Ferndale and recording the final plat, each Subsequent Phase shall be bound by the terms and conditions of this Declaration. The applicability of this Declaration to Subsequent Phases shall be evidenced by the recording of a Declaration of Covenants, Reservations and Restrictions incorporating the terms of this Declaration on each Subsequent Phase. The Declarant reserves the right to modify the Declaration for any Subsequent Phases.

1.15 Douglas Plats. For the purpose of this Declaration, the South Douglas Long Plat and the Douglas Place Long Plat shall be referred to collectively as the "Douglas Plats".

1.16 24' Access & Utility Easement. The 24' Access & Utility Easement shall mean that certain 24' wide easement area used for access to Lots that abut South Church Road but are prohibited from direct access onto South Church Road. It contains public storm drainage facilities and may contain some private utilities. The 24' Access & Utility Easement is shown on the plat maps of the South Douglas Long Plat.

1.17 Open Space. Open Space is the area designated as "Open Space" on the face of plat maps for the South Douglas Long Plat.

1.18 South Douglas Long Plat. That certain Long Plat on Lot B of the Douglas Road Lot Line Adjustment, as filed under Auditor's File No. 2070801956, records of Whatcom County, Washington which obtained preliminary plat approval from the City of Ferndale Hearing Examiner on November 6, 2006.

2. RESERVATIONS

2.1 Reservation of Easements. Easements for drainage, sewers, water pipes and utilities, facilities and services (including, but not limited to, water supply, electricity, gas, telephone and television) are hereby reserved over, under, upon, in and through all roadways and walkways, and over, under, upon, in and through those certain portions of Lots or Parcels as shown on the final plat maps of the Subdivision in which are and/or shall be installed, laid, constructed, repaired, renewed, operated, maintained and inspected underground pipes, sewers, conduits, cables, wires and any and all necessary facilities and equipment for the purpose of serving the Subdivision, together with the right to enter upon said easement areas, Lots, Parcels, roads and walkways for or pertaining to the aforesaid. This reservation of easements is for the benefit of the Declarant and its successors in interest, as well as for the benefit of the City of Ferndale, Puget Sound Energy, Cascade Natural Gas Company, Verizon, Comcast Cablevision and any other purveyors of such services as herein before described, as well as any of their successors in interest.

2.2 Conveyance of Common Properties. The Common Properties, as identified on the face of the Plat of the Subdivision, are hereby conveyed by the Declarant to the Association, except those tracts identified in Paragraph 6.3. The Association, upon conveyance of Common Properties to it, shall be responsible for the maintenance and upkeep of the Common Properties.

2.3 Reservation of Drainage Easement and the Right to Drain. The Declarant hereby reserves the right to drain all roadways, walkways, easement ways and areas over and across any Lot or Parcel within the Subdivision where water might take a natural course after the grading of such Lot or Parcel. These easements shall be conveyed to the Association concurrent with the conveyance as set forth in Paragraph 2.2, and the Association shall then be responsible for the maintenance and upkeep thereof.

2.4 Sales / Construction Office. The Declarant reserves the right to maintain a sales office on a Lot or Parcel to be designated by the Declarant within the Subdivision for the primary purpose of selling and reselling Lots within the Subdivision. Declarant reserves the right to place and maintain "for sale" signs on any Lot within the Subdivision as may be prepared and erected by the Declarant. The Declarant shall have the right to maintain a construction office on a Lot within the Subdivision so long as the Declarant owns Lots within the Subdivision.

2.5 Road Dedication. The Declarant reserves the right to dedicate the road right-of-way to the City of Ferndale by dedication on the face of the plat maps for the South Douglas Long Plat.

3. GENERAL USE RESTRICTIONS AND REQUIREMENTS

3.1 Permanent Residential Purposes. All Lots within the Subdivision shall be used exclusively for permanent residential purposes.

3.2 Recreational Vehicles. All boats, utility trailers, trucks of more than one-ton rating, campers, recreational vehicles, travel trailers, motor homes and similar items or vehicles maintained or kept upon any Lot within the Subdivision shall at all times be enclosed within a garage or otherwise neatly stored behind the front wall line of the residence and reasonably screened from view from the street running in front of said Lot. Such items or vehicles shall not be parked on any street within the Subdivision overnight; provided that, out-of-county resident guests of an Owner may, with such Owner's permission, park a recreational vehicle or travel trailer on that Owner's Lot for up to a maximum of twenty-eight (28) days within any calendar year without being in violation of this Paragraph, provided further that, under no case shall any one parking visit of any such vehicle be greater than seven (7) consecutive days.

3.3 Explosives. No firearms or explosives shall be discharged within the boundaries of the Subdivision; provided, this shall not in any way limit the use of explosives as required for construction of the Subdivision.

3.4 Animals. No animals, other than domestic, household pets shall be maintained by any Lot Owner on any Lot. Further, no animals, livestock or poultry of any kind shall be raised, bred or kept on any Lot, except that dogs, cats or other household pets may be kept, provided that they are not kept, bred or maintained for commercial purposes. Other household pets are limited to fish and small indoor caged animals. No more than two (2) dogs, or one (1) dog and two (2) cats, or three (3) cats, may be kept as household pets by any Lot Owner within the Subdivision.

When letting household pets outside, Residents must have the Dogs shall be kept and confined in fenced areas or on leashes when within the Subdivision.

Lot Owners shall clean up after their pets within the Subdivision.

No dangerous or potentially dangerous dogs shall be allowed within the Subdivision, and no Owner shall harbor or keep a dog that frequently or habitually howls, barks or makes other loud noises or unreasonably annoys or disturbs other people within the Subdivision. For the purpose of this Paragraph 3.4, "dangerous or potentially dangerous dogs" include, but are not limited to the following breeds: Akitas, Dobermans, Pit Bulls, Rottweillers and Chows.

If an Owner violates this Paragraph 3.4, then any other Owner within the Subdivision may seek any remedies available at law or in equity, including damages and/or injunctive relief. In lieu of actual damages, and at each Owner's sole election, any Owner shall be entitled to One Thousand Five Hundred Dollars (\$1,500.00) of liquidated damages from the Owner of the Lot in violation of this Paragraph 3.4.

3.5 Signs. No signs or billboards shall be placed on any Lot, except that one identification sign bearing the Owner's name and address may be placed upon the Owner's Lot. Irrespective of the foregoing, the Declarant may display post signs, billboards or other advertising materials on or about any unsold Lot or Lots until all Lots within the Subdivision have been sold by Declarant. In addition thereto, the Declarant, and any Owner or such Owner's agent, may subsequently advertise any Lot for sale, and, furthermore, an Owner may display signs of a political nature, promoting a candidate or a political proposition, during periods of political campaigns.

3.6 Garbage/Refuse. No Owner shall deposit or permit the accumulation of any trash, ashes, garbage or other refuse or debris on or about such Owner's Lot or any other property within the Subdivision, except in appropriate covered trash receptacles. Each Owner shall keep such Owner's Lot neat and orderly in appearance and shall not cause or permit any noxious or odorous conditions to exist, nor maintain any tangible objects which are unsightly in appearance to exist, on any Lot or Parcel within the Subdivision.

3.7 Vehicles. All automobiles and all other permitted vehicles, if kept or parked on any Lot or otherwise within the Subdivision, shall be in good order and in working condition. Partially wrecked vehicles, discarded vehicles, unlicensed vehicles or vehicles which are in a state of disrepair shall not be kept on any Lot nor shall they be maintained within the Subdivision, unless enclosed in a garage or otherwise completely screened from view from outside the Lot.

3.8 Antennas.

3.8.1 Roof Mounted. No television antennas, radio antennas, or satellite dishes (collectively referred to herein as "Antennas") of any kind which extend above the lowest ridge line of the residence on a Lot shall be allowed, provided that no such Antenna that is unsightly shall be erected any portion of the roof of the residence. For the purposes of this Paragraph, the phrase "ridge line" means the horizontal line (i.e. peak) formed by the meeting of two sloping roof lines. Any Owner whose Lot is adjacent to a residence with an unsightly Antennas (including Lots separated by right-of-way) and who has a direct line of sight to the Antenna may petition request that the unsightly Antenna be removed or relocated (herein "Aggrieved Owner"). Any such request must be made in writing by the Aggrieved Owner to the Committee and copied to the Owner with the alleged unsightly Antenna (herein "Offending Owner") and the Association. A non-refundable \$250 fee to the Committee shall be included with the written request to the Committee. The Committee shall hold a hearing on the matter within twenty (20) days of receipt of the request by the Offending Owner. The Aggrieved Owner and the Offending Owner shall both have the opportunity to present a case to the Committee. The Committee may, in its sole discretion, allow testimony from other Owners or the Association. The Committee shall issue a written decision granting or denying the request within 10 days of the hearing. If the Committee grants such a request, the Committee may only require the Offending Owner to remove or relocate the unsightly Antenna. The Committee shall not grant any other relief. The decision of the Committee is final. The Offending Owner shall complete all action required by the Committee within sixty (60) days of the decision. If the Offending Owner fails to take such required action, the Association may, in its sole discretion, take such action on behalf of the Offending Owner. The Association is entitled to recover all costs and expenses from the Offending Owner for any action taken under this Paragraph by the provisions contained in Sections 6 and 8 of this Declaration. The Association may be an Aggrieved Owner under this Paragraph regardless of the direct line of sight criteria for Lot Owners.

3.8.2 Ground Mounted. No ground-mounted television antennas, radio antennas, or satellite dishes shall be allowed, unless it is fully screened from view from adjacent Lots, Parcels, and/or properties and is mounted in the rear yard of the Lot.

3.9 Fencing.

3.9.1 No fencing shall be erected in the front yard street side of the building set back line of a Lot or within the flanking side yard of a Lot, except for decorative purposes such as a picket, split rail or decorative screening or background fence approved by the Committee. Any fencing erected that abuts the residence or garage shall be set back at least eight (8) feet from the vertical plane of the residence or garage to provide relief in the overall visual appearance of the residence. No fencing shall exceed six (6) feet in height. In no case may fencing be constructed or placed in a manner inconsistent with City of Ferndale requirements.

3.9.2 Fencing or landscaping shall be installed on a Lot to visually screen areas that serve as service yards in which garbage receptacles, fuel tanks, gas and electric meters, mechanical equipment, vehicles, materials, supplies and equipment are stored outside. The screening shall substantially conceal such service yards from view from the road and adjacent properties. Fencing to accomplish this purpose shall be approved by the Committee.

3.9.3 Except as provided by Paragraph 3.10, below, all fencing constructed for the Subdivision shall be constructed with wood or a composite material resembling wood. The fencing shall be painted in the base color of the associated residence, stained with a wood stain, or left in its natural wood color.

3.9.4 If any Owner believes that any fence was erected in violation of this Declaration may request that the fencing be reconstructed such that it conforms to this Declaration (herein "Aggrieved Owner"). Any such request must be made in writing by the Aggrieved Owner to the Committee and copied to the Owner with the alleged non-conforming fencing (herein "Offending Owner") and the Association. A non-refundable \$250 fee to the Committee shall be included with the written request to the Committee. The Committee shall hold a hearing on the matter within twenty (20) days of receipt of the request by the Offending Owner. The Aggrieved Owner and the Offending Owner shall both have the opportunity to present a case to the Committee. The Committee may, in its sole discretion, allow testimony from other Owners or the Association. The Committee shall issue a written decision granting or denying the request within 10 days of the hearing. If the Committee grants such a request, the Committee may only require the Offending Owner to reconstruct the fencing such that it conforms to this Declaration. The Committee shall not grant any other relief. The decision of the Committee is final. The Offending Owner shall complete all action required by the Committee within sixty (60) days of the decision. If the Offending Owner fails to take such required action, the Association may, in its sole discretion, take such action on behalf of the Offending Owner. The Association is entitled to recover all costs and expenses from the Offending Owner for any action taken under this Paragraph by the provisions contained in Sections 6 and 8 of this Declaration. The Association may be an Aggrieved Owner under this Paragraph.

3.10 Wire / Chain Link Fences. All wire and/or chain link fences are prohibited, except those fences required by the City of Ferndale or those fences used for holding animals on individual Lots. All such wire and/or chain link fencing shall be entirely colored black or green. All such wire and/or chain link fences used for holding animals shall be substantially screened by landscaping or white vinyl fencing.

3.11 Surface Water Run-Off. No Lot shall be improved in such a way as to cause excess surface water run-off that may damage or inconvenience other Lots or contiguous properties and the Owners thereof.

3.12 Damaged Improvements. No improvement which has been partially or totally destroyed by fire, earthquake or any other cause shall be allowed to remain in a state of disrepair for a period in excess of four months from the date of such partial or total destruction. Corrective construction or reconstruction shall be required to commence within such four month period and shall be completed in accordance with the provisions of Paragraph 4.1 hereof; provided, however, that four month period shall be extended for a

reasonable period thereafter in the event that corrective construction or reconstruction has not commenced as a result of factors beyond the control of the subject Owner and in the event that the subject Owner has exercised and does thereafter continue to exercise due diligence in an effort to eliminate such factors causing such delay in commencement.

3.13 Child Care Facilities. No Owner or third party shall operate any business involving child care, day care or preschool on any Lot within the Subdivision.

3.14 Registered Sex Offenders. No Registered Sex Offender shall be a Resident of the Subdivision. Any Owner who is a Registered Sex Offender, or who allows a Registered Sex Offender to be a Resident on such Owner's Lot, shall be subject to any remedies available at law or in equity, including damages and/or injunctive relief. In lieu of actual damages, and at each Owner's sole election, any Owner in the Subdivision shall be entitled to Three Thousand Dollars (\$3,000.00) in liquidated damages from the Owner of the Lot where the Registered Sex Offender is a Resident in violation of this Paragraph 3.14. By accepting these Covenants, all Owners agree and acknowledge that establishing damages may be difficult to ascertain and that Three Thousand Dollars (\$3,000.00) as liquidated damages is a fair and reasonable estimate of the amount of damages to each Lot that will incur as a result of a Registered Sex Offender residing in the Subdivision. For the purposes of this Declaration, "Registered Sex Offender" shall mean any person registered as a sex offender according to RCW 9A.44.130.

3.15 South Church Road Lots. Residences on Lots that front onto South Church Road (on the west side of the Lots) and abut the 24' Access & Utility Easement (on the east side of the Lots) (herein the "South Church Road Lots") shall be oriented towards South Church Road, with front doors and porches facing South Church Road, and entry paths accessing sidewalk. Garage access shall be from the rear only via the 24' Access & Utility Easement. Vehicular access to these Lots from South Church Road is prohibited. Instead, these Lots shall be accessed from the 24' Access & Utility Easement. In this Division 1, Lots 9 and 10 are South Church Road Lots. Lots abutting the 24' Access & Utility Easement (on the west side of the Lots) are specifically excluded from the South Church Road Lots.

4. CONSTRUCTION

4.1 Time For Completion. Construction of all improvements shall be prosecuted diligently from the date of commencement of work until the exterior is completed and painted or finished and all sanitation and health requirements have been fulfilled. Furthermore, the maximum time limit for the completion of construction of an improvement shall be twelve months from the date construction commences, which is defined as the date building materials are first delivered to the Lot for such purpose. Construction shall not be deemed to be completed until the improvement is finished, the Lot has been cleaned of construction debris and the Lot has been landscaped.

4.2 Height Restrictions. The height of structural improvements erected on Lots shall be restricted as follows or pursuant to the terms of any applicable ordinance of the City of Ferndale in effect at the time of application for a building permit therefor, whichever is more stringent: No structural improvement shall exceed twenty-eight (28) feet in height. This height shall be measured from the highest point on the top of the curb directly in front of the Lot on which the structural improvements are to be constructed (said curb shall be located within the right-of-way, on the side of the right-of-way centerline abutting said Lot) to the average height of the highest gable of a pitch or hip roof.

4.3 Minimum Building Size. The minimum building size for a rambler shall be 1,000 square feet, excluding garages. The minimum building size for two-story buildings shall be 1,800 square feet, excluding garages.

4.4 Garages. No building shall have a garage that holds neither less than two cars or more than three cars; provided that garages contemplated in Paragraph 3.2 are specifically exempt from this Paragraph.

4.5 Setbacks. The minimum front and rear yard setbacks shall be pursuant to City of Ferndale Municipal Code. Side yard setbacks shall be eight (8) feet, provided that the Committee may approve a reduction, so long as any reduction complies with applicable City of Ferndale Municipal Code.

4.6 Color. Colors for Improvements on Lots shall be limited to whites, grays and earth tones approved by the Design Review Committee. The Design Review Committee may also grant variances from this restriction for trim or accent colors.

4.7 Driveways. Full width, triple car garage driveways on Lots shall be avoided through use of a transition from double car garage width driveways within twenty feet (20') of the garage opening.

4.8 Foundation. Exposed concrete foundation walls on any dwelling on a Lot shall not exceed two (2) feet in height, except as approved by the Committee.

4.9 Landscaping.

4.9.1 The front yard area from the street to the front of building(s) on each Lot shall be covered with lawns, landscaping and solid surfaces within nine (9) months of the date of commencement of construction of the dwelling.

4.9.2 Where construction is not commenced within three (3) months after an Owner acquires a Lot, the Owner shall cut weeds on the Lot and shall keep the Lot free of garbage or other debris and shall otherwise maintain the Lot in reasonable condition so not as to detract from the neighboring Lots.

4.9.3 Flanking side yards on a Lot shall be covered with lawns, landscaping or solid surfaces within six (6) months of the date of commencement of construction of the dwelling. Flanking side yards are that portion of a corner Lot that is designated as the side yard between the building set back line and the street. It is the intent of this provision to keep these areas which are typically outside of the fence line consistent with the other landscaping within the Subdivision.

4.10 Maintenance and Repair. Landscaping, sidewalk planting strips, curbs and gutters in front of each Lot shall at all times be kept and maintained in good order, repair, condition and free of debris.

4.11 Landscaping Compliance. If any Owner fails to comply with Paragraphs 4.9 or 4.10, the Association, so long as the Declarant has transferred complete control of the Association pursuant Paragraph 6.2 of this Declaration, or the Declarant shall have the right to enter onto any Lot out of compliance with Paragraphs 4.9 or 4.10 and make any improvements deemed reasonably necessary to make the Lot comply with Paragraphs 4.9 or 4.10. Said Lot Owner shall be responsible for any reasonable costs incurred by the Declarant or the Association for said, including but not limited to materials, labor, rental costs, and administrative costs. If necessary, the Association or Declarant may utilize the authority set forth in Paragraph 6.4 to assess the Lot and Owner for the cost of such work. The Owner shall reimburse the Association as is appropriate within fourteen (14) days after receipt of a billing for the above described work.

5. DESIGN REVIEW COMMITTEE

5.1 General. Construction of Improvements, except as specifically required in this Declaration, on any Lot within the Subdivision shall be subject to the prior approval of a Design Review Committee (herein "Committee"), which shall be composed of two (2) representatives of, and chosen by, the Declarant. The initial representatives shall be Bill Kramer and Douglas Marr. No improvements shall be erected, placed or

altered on any Lot until the construction plans, specifications and a site plan showing the location of all proposed improvements on the Lot have been approved by the Committee. The approval or disapproval of the Committee as to such construction plans, specifications and site plan shall be based upon the quality of materials to be utilized in construction, the harmony of the external design and color scheme of the proposed improvements with other existing improvements within the Subdivision and the location and bulk of the improvements with respect to topography, finished grade elevation.

5.2 Committee Fee. In addition to the construction plan, specifications, site plan and landscaping plan, the owner shall give to the Committee One Hundred Fifty Dollars (\$150.00) for each approval requested. A significant change to plans shall be deemed to be a new set of plans and shall require an additional One Hundred Fifty Dollar (\$150.00) fee. The Committee is not obligated to commence review until the above specified fees have been paid.

5.3 Approval / Disapproval. The Committee shall approve or disapprove the construction plans, specifications and site plan, including specified color finish, within fifteen (15) days following receipt of a complete duplicate set thereof from the submitting Owner or prospective Owner. Any complete submission of construction plans, specifications and site plan on which no action is taken by the Committee for fifteen (15) days following the date of receipt thereof shall be deemed approved as submitted, unless within such fifteen (15) day period the Committee has sought, in writing, clarifying information concerning the same. Two sets of construction plans, specifications (including exterior color finish detail), site plan and the fee, pursuant to Paragraph 5.2, above, must be submitted to the Committee. One such complete set shall be returned to the submitting Owner or prospective Owner with the approval or disapproval endorsed upon such complete set by the Committee. The other complete set shall be retained by the Committee until construction of all Improvements on the construction plans is complete and final occupancy has been granted by the City of Ferndale. Upon final occupancy, the Committee shall turn over the construction plans to the Association.

The Committee shall have the right to disapprove any construction plans, specifications and/or site plan in the event the same are not in accordance with the provisions of this Declaration, if the design or exterior color scheme of the proposed Improvements is not in harmony with the general surroundings of the Subdivision or with the adjacent Improvements, if the construction plans, specifications and site plan are incomplete, or if the Committee determines that the construction plans, specifications and site plan, or any portion of them, are contrary to the interest, welfare and/or rights of the Owners of other Lots within the Subdivision. Any such decision reached by the Committee shall be final and non-appealable to any forum, body or court.

The Declarant shall not be required to comply with the requirements of this Section 5. All Improvements made by the Declarant or entities controlled by the Declarant shall be deemed to comply with all requirements set forth in Section 4 of this Declaration.

5.4 Conditional Approval. Any approval given by the Committee may be conditioned upon compliance by the applicant with any reasonable condition which the Committee deems appropriate, including, without limitation, the posting of bonds or other acceptable security in order to insure performance by the applicant in accordance with the construction plans, specifications and site plan being approved. Any such bond required by the Committee shall be held by the Committee. The Committee shall release any unused portion of the bond at final occupancy.

5.5 No Liability. Neither the Committee, nor any member thereof nor any successor thereto, shall be liable to any person for any action taken by the Committee or for any failure to act by it under or pursuant to the provisions of this Declaration, so long as the Committee, the members thereof and any successors thereto act in good faith and without malice.

5.6 Expiration. Neither the Committee nor any members appointed to it shall have any responsibility with regard to this Declaration after seven (7) years from the date hereof or upon the sale by the

Declarant of the last Lot owned by it, or by its successor in interest, in the Subdivision, whichever event occurs later. Notwithstanding the foregoing, in the event that the Association determines by an affirmative vote of seventy-five percent (75%) of the Owners thereof then or at any time thereafter that the Committee or any successor thereto shall remain in existence following the expiration of the term of the Committee as herein before set forth, then the Association may constitute such Committee or successor organization as it deems necessary in order to continue the function of the Committee as set forth in this Section or as then modified.

6. COMMUNITY ASSOCIATION

The Declarant shall form a Community Association, designated herein as the Association, to include as its members all Owners of any Lot within the Subdivision. This organization shall be a nonprofit corporation pursuant to Title 24 of the Revised Code of Washington and shall be known as "Douglas Plats Community Association". For this Section 6, the term "Owner" shall mean any Owner of the Lot in the Douglas Plats.

6.1 Purpose. The purpose of the Association shall include, without limitation, the furtherance and promotion of the common welfare of the Owners of any Lot or parcel within the Douglas Plats; the regulation, use, care, construction, operation, repair, maintenance and preservation of the Common Properties within the Douglas Plats for which there is a private maintenance obligation to be shared in common by the Association members; the regulation, maintenance and repair of facilities thereon and such other facilities, equipment, activities, objects and purposes pertaining to the welfare, enjoyment, social well-being, protection and benefit of the members and of their Lots within the Douglas Plats, including, but not limited to, the operation, maintenance and use of property held or controlled by the Association; enforcement of this Declaration including Lot maintenance, construction requirements and building restrictions imposed on the Lots; payment of taxes, if imposed, on Common Properties and improvements; and the furnishing of protection and preservation of the interests of the Owners for the common good.

6.2 Creation and Transfer of Control. The Association shall be organized at the instance of the Declarant and Douglas Place, LLC, and each Owner shall be a member of the Association. The Declarant and Douglas Place, LLC shall have the exclusive right to designate and appoint a governing Board of the Association until such time as the Declarant and Douglas Place, LLC has sold all of its Lots within the Douglas Plats or seven (7) years from the date of this Declaration, whichever is sooner. When all Lots owned by the Declarant and Douglas Place, LLC have been sold the control of the Association shall be turned over to the members, and the members shall elect from their number the governing Board of the Association, as determined by the Articles of Incorporation and By-laws of the Association. Irrespective of the foregoing, the Declarant and Douglas Place, LLC, at their sole and exclusive option, may elect at any time prior to the sale of all Lots within the Douglas Plats to transfer control of the Association to the members thereof.

6.3 Conveyances. The Declarant shall transfer and convey by deed or by such other applicable instrument all Common Properties and easements as hereinbefore identified to the Association, subject to the reservations impressed upon these Common Properties and easements by this Declaration. At such time as the Declarant conveys the Common Properties and easements to the Association, and at all times subsequent thereto, the Association shall be responsible for the maintenance and upkeep of the Common Properties and easements at its sole and exclusive expense. Such obligation shall include, without limitation, responsibility for maintenance of all Common Properties, common improvements and easements as identified herein and on the face of the final plat of the Subdivision. Specifically, and also without limiting the foregoing, the Association shall be responsible for the operation and maintenance of, and for potential liability arising from, all Common Properties. This Paragraph 6.3 shall not apply to Tracts 1, 2, 3 or 4, which may be retained by the Declarant or conveyed to any third party in the Declarant's sole discretion. However, maintenance for the Stormwater Facilities contained within Tracts 1, 2, and 3 shall be the responsibility of the Association, pursuant to Paragraph 6.12.

6.4 Assessments and Liens.

6.4.1 Authority. The Association shall be empowered to establish and to collect dues and assessments upon Lots in the Douglas Plats for the common benefit of such Lots.

6.4.2 Purposes. The purposes for which dues and assessments may be established and collected include, without limitation, making provision for the payment of charges associated with utilities, roadways, drainage, property protection, landscaping, insurance, maintenance, improvements, enforcement of this Declaration, payment of taxes upon Common Properties, the holding of Ownership or a leasehold interest therein or for any other common purposes, all as determined pursuant to the Articles of Incorporation and By-laws of the Association.

6.4.3 Personal Obligation and Lien Foreclosure. Dues and assessments shall constitute a personal obligation of any Owner of record of a Lot on the due date thereof and shall also constitute a lien on the Lot assessed. Such lien may be enforced by the Association in the same form and manner of procedure as foreclosure of real property mortgages under the laws of the State of Washington.

6.4.4 Amounts Included. Each Owner and each party hereinafter owning or claiming an equity interest in a Lot agrees that in the event of such foreclosure action involving such Lot, the Owner or Owners thereof or other party asserting an equity interest therein will pay the Association's expenses of title examination and insurance, the cost of attorney's fees incurred by the Association and court costs, as well as all other costs reasonably and necessarily incurred in such foreclosure action. In any such action, delinquent assessments shall bear interest at the rate of 12% per annum from the date the same became due until the date of the entry of the judgment of foreclosure thereon.

6.4.5 Other Liens and Foreclosure Actions. The method and manner provided for foreclosure of liens set forth in Paragraph 6.4.3 shall pertain to all liens referred to in this Declaration.

6.5 Establishment of Assessment of Charges. When the Board deems it appropriate, it shall adopt a regular or special budget for the Association. The Board shall set a date for a meeting of the Owners to consider ratification of the budget. The meeting shall be not less than fourteen (14) days nor more than sixty (60) days after the budget has been mailed to all of the Owners. Unless at the meeting of the Owners a majority of the Owners vote to reject the budget, the budget shall be ratified, whether or not a quorum is present. If the proposed budget is rejected, or the required notice is not given, the budget last ratified by the Owners shall continue until the Owners ratify a subsequent budget proposed by the Board.

6.5.1 Additional Charges for 24' Access & Utility Easement. The Lot Owners of the South Church Road Lots (see Paragraph 3.15) shall be assessed one hundred five percent (105%) of any assessment levied by the Board. The additional five percent (5%) shall be specifically attributed to maintenance, repair, operation or reconstruction of the 24' Access & Utility Easement. However, any special assessment exclusively for maintenance, repair, operation, or reconstruction of the 24' Access and Utility Easement shall be approved by at least sixty percent (60%) of the Lot Owners of the South Church Road Lots.

6.6 Annual statement. As soon as shall be practical in each calendar year, the Association shall send a written statement to each Owner setting forth the dollar amount of the assessment for such Lot for such calendar year. The Association may, in its sole discretion, provide for payment of such assessments on a periodic basis during such calendar year, with or without a service charge.

6.7 Penalty on Delinquent Assessments. If an Owner shall fail to pay any installment of an annual assessment within thirty (30) days from the date the same is due, then the entire annual assessment for such Lot shall be delinquent and shall become immediately due and payable, shall bear interest at the rate of 12% per annum thereafter until paid and shall also bear a penalty in such amount as shall be determined by the Board of the Association.

6.8 Delinquency For More Than Ninety Days. If the Owner of any Lot shall be delinquent in the payment of the annual assessment, or any installment thereof, for more than ninety (90) days following the date the same is due, then the Association shall have the right to commence legal action seeking a personal judgment against such Owner and, in addition thereto, shall have the right to foreclose its lien upon such Lot. The total amount due from such Owner shall be such sums as provided in Paragraphs 6.5, 6.5.1, and 6.4.4, plus any penalty imposed under Paragraph 6.7 hereof.

6.9 Rules and Procedures for Billing and Collecting Assessments. The Board of the Association shall have the power and authority to adopt rules and procedures respecting the billing and collecting of annual assessments, which shall be binding upon all Owners.

6.10 Application of Assessment. The Association shall apply all funds received by it pursuant to this Declaration in the following order:

6.10.1 Administrative costs and expenses incurred by the Association in the exercise of its powers under this Declaration;

6.10.2 The promotion of the recreation, health, safety, enjoyment and welfare of the users of the Common Properties, and the enhancement of the values of the Common Properties by means of construction, repair, maintenance, operation and administration of the Common Properties, including, but not limited to, the payment of taxes and insurance premiums on the Common Properties and the payment of utility charges therefor, including, if not otherwise paid by the County of Whatcom, the charge for electricity supplied for street lighting within the Subdivision.

6.10.3 The service, repair, maintenance and/or replacement of any and all common Improvements, including, but not limited to, fences, roads, paths, drainage facilities and lighting belonging to the Association.

6.11 Authority to Maintain surplus. The Association shall not be obligated to spend in any particular time period all of the sums collected or received by it during such time period or any other time period. The Association may carry forward, as surplus, any balances remaining. The Association shall not be obligated to apply any such surplus to the reduction of the amount of the annual assessment in any future year.

6.12 Maintenance of the 24' Access & Utility Easement and Storm Water Facilities. The 24' Access & Utility Easement (excluding the public storm drainage infrastructure within the 24' Access & Utility Easement) and the Stormwater Facilities shall be maintained by the Association.

The Association is responsible for conducting annual inspections of the Stormwater Facilities and fencing and providing certification to the City of Ferndale by a professional engineer registered in Washington State reporting the adequacy of the stormwater treatment and conveyance systems.

Should any deficiencies be identified in the inspections required above, the professional engineer shall identify measures required to rectify the deficiency in the report to the City of Ferndale. Any required repair, maintenance, or restoration associated with said Stormwater Facilities, shall be the responsibility of the Association. If the Association fails to perform the duties required by this Paragraph 6.12, the City of Ferndale may assume said duties at the expense of the Association.

6.13 Raingardens. The City of Ferndale has required that Individual raingardens be constructed on certain Lots, as delineated on the plat maps of the South Douglas Long Plat. Construction of such a raingarden is the responsibility of the Lot Owner. The Owner of such a Lot shall construct the raingarden and its appurtenances pursuant to the specifications contained in the *South Douglas Long Plat Bioretention Design*

and Maintenance Criteria (the "Raingarden Specifications"). A copy of the Raingarden Specifications shall be retained by the Declarant and the Association. The raingardens and their appurtenances shall be privately owned by the respective Lot Owner. All operation, maintenance, repair and reconstruction of a raingarden (including all costs related thereto) shall be the sole responsibility of the respective Lot Owner. Operation, maintenance, repair and reconstruction shall be pursuant the Raingarden Specifications. Each raingarden shall be designed, permitted, approved and constructed at the time a building permit is secured for that Lot requiring such a raingarden. The failure of the Lot Owner to comply with this requirement shall be a violation of this Declaration, which may be enforced as elsewhere provided herein.

7. VIEW PROTECTION.

7.1 Tree Trimming. View corridors are recognized as important part of the Subdivision's quality and value. Trees tend to frame the views and enhance the aesthetic quality of the Subdivision. In order to insure that the views, as they exist on or about the date of the filing of this Declaration, are preserved at the same time protecting the aesthetic quality that future trees give to the Subdivision, the Declarant creates the following restrictions and grants the following authority:

(a) All new or small existing shrubs or trees shall be trimmed or topped so as to not impair the view from other lots, provided that any new or small existing shrubs or trees within the Open Space may impair views from other lots due to normal plant growth.

(b) Large trees within Lots on the date of recording of this Declaration shall be trimmed and/or topped to insure that new growth does not materially impair views from other lots.

7.1.1 The Committee, at its discretion, may elect to enforce the restrictions set forth in Paragraphs (a) and (b) above. If the Committee determines that a large existing tree has grown to the extent that it materially impairs the view from another Lot, then it shall have the authority to order topping and trimming of the tree to reduce its size to approximately its size as of the date of recording of this Declaration. If the Committee determines that a tree requires trimming or topping, the work shall be done within sixty (60) days after the determination is made and given to the lot owner in writing. If the Lot Owner fails or refuses to trim or top the tree or trees, as required by the Committee, then the Association shall top or trim the tree(s) and the costs shall be made a special assessment against the Lot Owner on which the tree or trees were located pursuant to Paragraph 6.5 of this Declaration.

7.1.2 Regardless of the determination or actions of the Committee, a Lot Owner shall have the right to pursue enforcement of the restrictions set forth in Paragraphs (a) and (b) above, pursuant to the enforcement authority granted in Section 8 of this Declaration.

7.1.3 A large existing tree shall be defined as any tree that is located on a Lot within the Subdivision that has a circumference of sixteen inches (16") or more, as measured three feet (3') from the base of the tree as of the date of recording this Declaration. Any trees that do not meet this definition shall be considered small existing trees.

7.1.4 It is the intent of this provision that as to new plantings or small existing trees, any impairment of view is a violation.

7.1.5 The determination as to whether or not view impairment by a large existing tree is natural shall be made taking into consideration the following factors:

i. View impairment shall not be material unless it is at least ten percent (10%) greater than what existed as of the date of this Declaration;

ii. Where a lot has a limited view, any impairment of view should be viewed as material. A lot that has very broad view corridors, a greater impairment can be tolerated before it is deemed material;

iii. Whether or not view impairment exists must be determined based on the views from the main floor of the house whose views are impaired.

iv. The Declarant intends to protect the views of the Mount Baker and local or territorial views where the broader, more panoramic views are not available.

7.2 Height Restrictions. The Declarant hereby establishes the following height limitations and restrictions on particular lots. No structure, tree or shrub shall be allowed to exceed the height specified below for each lot. For purposes of this provision, height of a structure shall be measured as set forth in Paragraph 4.2.

Lot	Maximum Height

7.3 Variance. The Committee, in its sole discretion, shall have the authority to grant a variance from any provision of Section 7 or Paragraph 4.2. The Committee may grant a variance only if the Owner proves to the Committee's satisfaction that because of the unusual shape, exceptional topographic conditions, or other extraordinary situation or condition in connection with the Owner's Lot, the literal enforcement of any provision of Section 7 or Paragraph 4.2 would involve practical difficulties and cause undue hardship unnecessary to carry out the spirit and intent of this Declaration. Such a variance request must be made in writing to the Committee. The Committee must grant or deny the variance within 30 days of receipt of the variance request. The decision of the Committee is final. No decision by the Committee shall violate any City of Ferndale code, ordinance, or regulation, and any such decision that violates any City code, ordinance, or regulation shall be invalid.

7.4 Existing Structures. No structure may be enlarged, remodeled or changed in any way that interferes with or impairs the view from a neighboring Lot. The Committee shall not have the authority to grant any relief from this restriction. If the existing house on Lot 5 is renovated to the extent that the cost of renovating exceeds sixty percent (60%) of the assessed value of the house or is demolished, the renovated or new structure shall comply with this Declaration.

8. ENFORCEMENT

The Association, the Declarant, Douglas Place, LLC and any Owner of a Lot in the Douglas Plats shall have the right to enforce, by any proceedings at law or in equity, all covenants, conditions, restrictions, reservations, liens and charges now or hereafter imposed by this Declaration. The failure of the Association, the Declarant, Douglas Place, LLC or of any Owner of a Lot in the Douglas Plats to enforce any rights hereunder shall not be deemed to constitute a waiver of the right to do so thereafter. The prevailing party in any litigation involving the enforcement of any provision of this Declaration shall be entitled to judgment for the reasonable attorney's fees and costs incurred in such litigation by such prevailing party. The Declarant's and Douglas Place, LLC's respective right to enforce shall terminate when that party no longer has an ownership interest in the Douglas Plats.

9. GRANTEE'S ACCEPTANCE

The grantee of any Lot subject to this Declaration shall, by the acceptance of a deed conveying title thereto or by the execution of any contract for the purchase thereof, whether from Declarant or any subsequent Owner of such Lot, accept such deed or contract upon, and subject to, each and every provision

of this Declaration and the provisions contained herein, including the jurisdiction, rights and powers of Declarant, and by such acceptance shall, for himself, his heirs, personal representatives, successors and assigns, covenant, consent and agree to and with Declarant and to and with the grantees and subsequent Owners of each of the Lots within the Subdivision, to keep, observe, comply with and perform all obligations set forth herein.

Each such grantee also agrees, by such acceptance, to assume, as against Declarant, its successors or assigns, all of the risks and hazards of ownership and occupancy attendant to such Lot, including, but not limited to, its proximity to any Common Properties, public roads, power lines, and wetlands.

10. AMENDMENT TO DECLARATION

This Declaration may be amended or terminated by an instrument signed by Owners who own at least seventy-five percent (75%) of lots within the Subdivision. Such amendment shall take effect upon recording with the Whatcom County Auditor.

Amendments to or termination of this Declaration without approval from the City of Ferndale shall in no way affect:

- (a) the ongoing obligation of the Owners, in common to care for and maintain all improvements located in the Common Properties as identified on the face of the Plat of the Subdivision, and all landscaping and all above ground landscaping related improvements located within the public right of way;
- (b) any of the easements described in Paragraphs 2.1 and 2.3 herein; or
- (c) the Association's duty to maintain and preserve landscaping, buffering, drainage facilities and open space, as designated on the face of the Plat of the Subdivision.

11. DECLARANT ASSIGNMENT

The Declarant reserves the right to assign the status of Declarant under this Declaration.

12. SEVERABILITY

In the event that any provision hereof is deemed by proper judicial decree to be invalid, then the remaining portion of this Declaration shall in no way be affected.

13. PARAGRAPH HEADINGS

The paragraph headings in this Declaration are for convenience only and shall not be considered in construing this Declaration.

14. NO WAIVER

The failure of any party entitled to enforce any provision hereof to take steps to enforce such provision shall not, in any fashion, operate or be deemed to be a waiver of any such provision or of any other provision hereof.

DATED this _____ day of January, 2009.

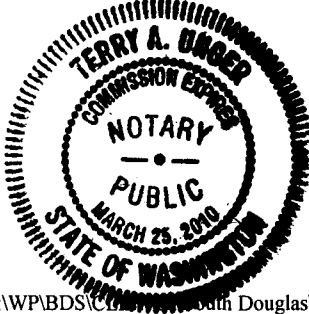
SOUTH DOUGLAS, LLC

By William Kramer
WILLIAM KRAMER, Member

STATE OF WASHINGTON)
COUNTY OF WHATCOM)ss.
)

On this 8 day of January, 2009, before me personally appeared WILLIAM KRAMER, to me known to be the member of the limited liability company that executed the within and foregoing instrument to be the free and voluntary act and deed of said limited liability company for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

IN WITNESS WHEREOF, I have hereunto set my hand and official seal the day and year first above written.



Terry A. Under
Notary Public in and for the State of Washington,
residing at Bellingham.
My Commission Expires: 3/25/10

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EXHIBIT "A"

Legal Description of the South Douglas Long Plat, Division 1 (the "Subdivision").

LOTS 1 THROUGH 10 (INCLUSIVE) OF THE SOUTH DOUGLAS LONG PLAT,
DIVISION 1, FILED UNDER WHATCOM COUNTY AUDITOR'S FILE NO.

2090102033, RECORDS OF WHATCOM
COUNTY, WASHINGTON.

SITUATE IN THE CITY OF FERNDALE, WHATCOM COUNTY, STATE OF
WASHINGTON.

EXHIBIT "B"

Legal Description of all Subsequent Phases of the South Douglas Long Plat.

LOT B OF THE DOUGLAS ROAD LOT LINE ADJUSTMENT, AS FILED UNDER AUDITOR'S FILE NO. 2070801936, RECORDS OF WHATCOM COUNTY, WASHINGTON.

EXCEPT THE FOLLOWING REAL PROPERTY:

LOTS 1 THROUGH 10 (INCLUSIVE) OF THE SOUTH DOUGLAS LONG PLAT, DIVISION 1, FILED UNDER WHATCOM COUNTY AUDITOR'S FILE NO.

2090102093, RECORDS OF WHATCOM COUNTY, WASHINGTON.

ALL SITUATE IN THE CITY OF FERNDALE, WHATCOM COUNTY, STATE OF WASHINGTON.